Category
Company Analysis: Past and Present

CAPITAL INVESTMENTS AND CAPITAL STRUCTURE

Learning Outcome

- evaluate a company's capital investments and capital structure

Sources and Uses of Capital

Firms invest capital from debt and equity investors to earn returns above their investors' required rates of return. An important consideration in company analysis is to evaluate whether required rates of return have been met or exceeded (i.e., whether economic value is created for investors) over the longer run and to assess risks and opportunities associated with the capital structure, such as the use of financial leverage. Before evaluation, a first step is to determine a company's sources and uses of capital on a historical basis, as shown generically in Exhibit 6.

Exhibit 6:

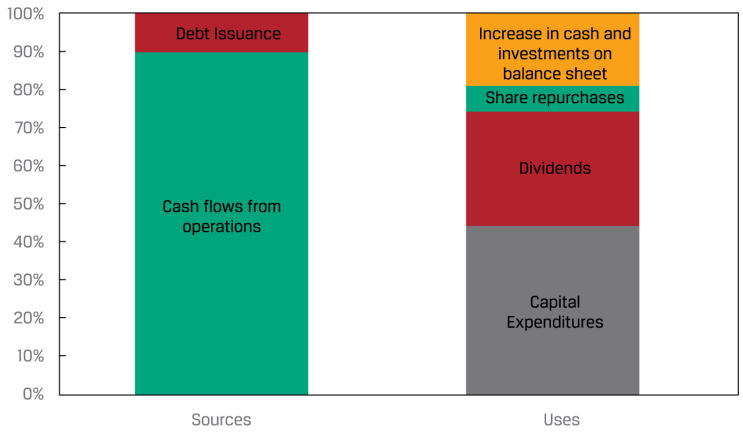
Sources and Uses of Capital

Sources of Capital	Uses of Capital
Cash flows from operations, including net working capital (if negative)	Cash and investments on hand
Debt issuance	Net working capital (if positive)
Equity issuance	Capital expenditures and additions to intangibles
Asset disposals	Acquisitions
	Debt paydown
	Dividends and share repurchases

Case Study: Warehouse Club Inc.'s Sources and Uses of Capital

Elaine Nguyen calculates the following information on Warehouse over 2X10–2X19. Cash flows from operations include the effect of additional net working capital financing (i.e., Warehouse's net working capital became more negative over time).

Warehouse Club Inc. Sources and Uses of Capital, 2X10–2X19



well; Nguyen expected the company to devote a greater amount to capital expenditures for new stores.

- The company has made no acquisitions.
- Even after returns to shareholders, the company seems to prefer equity financing to debt financing. This preference is logical considering the company's thin operating margin, though the fact that it primarily sells a wide range of necessities reduces its sales risks (i.e., from changes in the business cycle and in technology or fashion) and membership fees are a source of predictable income.
- The fact that debt issuance is smaller than the increase in cash and investments on the balance sheet indicates that the company's net debt has decreased over time, implying a decline in financial leverage.

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Evaluating Capital Investments and Capital Structure

Returns on invested capital over the longer run, compared with investors' required rates of return, can be used to evaluate whether management has used investors' capital wisely. Recall that independent investment analysts do not have access to the same information that management uses to assess individual projects with IRRs and NPVs, so analysts have to use more aggregated measures to discern whether there have been worsening or improving trends in value creation.

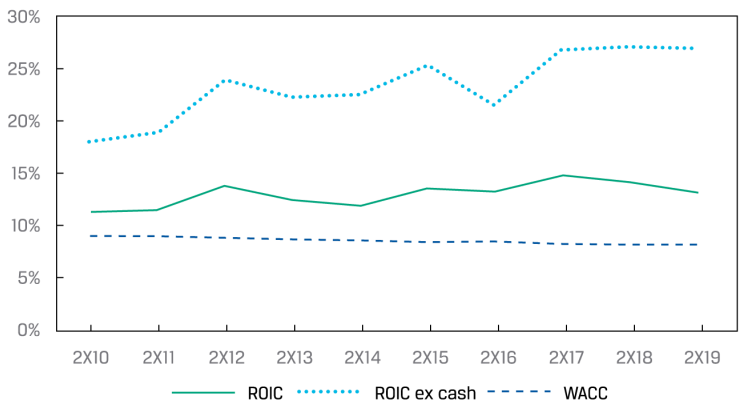
Risks related to the capital structure can be measured using leverage and coverage ratios, credit ratings by third-party rating agencies, and the sensitivity of net income to changes in operating income known as the **degree of financial leverage**, as shown in Equation 3. The degree of financial leverage is increased by higher interest expenses that are fixed with respect to operating income. The degree of financial leverage is analogous to the degree of operating leverage but is determined by financing costs rather than fixed operating costs.

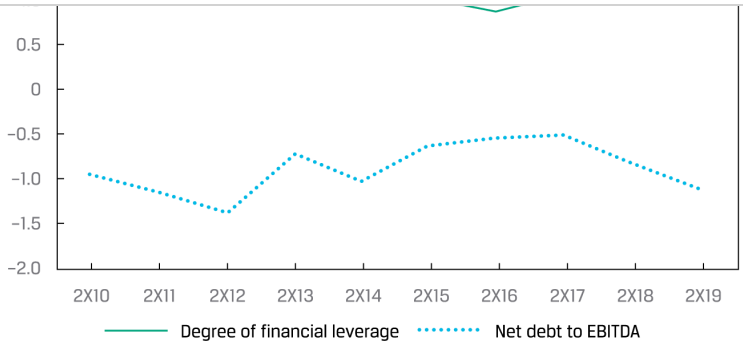
$$DFL = \% \Delta \text{ Net income} / \% \Delta \text{ Operating income} \quad (3)$$

Case Study: Evaluating Warehouse Club Inc.'s Capital Investments and Capital Structure

Elaine Nguyen calculates the following information on Warehouse over 2X10–2X19. Additionally, the company's interest coverage ratio (EBIT to interest expense) has been over 20 times and recently reached 30 times in 2X19, and the company's credit is rated investment grade by major credit rating agencies.

Warehouse Club Inc. Return on Invested Capital and Weighted Average Cost of Capital

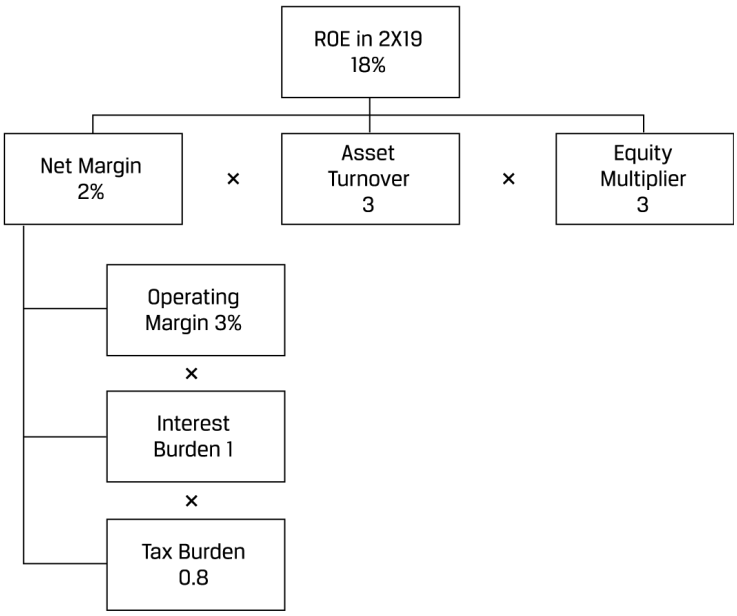




Nguyen makes the following observations:

- The company has created value for investors, with a spread of ROIC over WACC of 200–700 basis points since 2X10. WACC has declined slightly over time as interest rates have fallen; this calculation assumes a constant required rate of return on equity of 9%.
- The company's returns on capital are far higher than its low operating and net margins would suggest, owing to its high asset turnover and negative net working capital as a low-cost means of financing from suppliers, requiring less capital from investors.
- The company has a conservative capital structure, with negative net debt and a degree of financial leverage close to 1.0 because interest expense is largely covered by interest income on cash holdings (i.e., net and operating income move together).
- The capital structure conservatism is evidenced in the counterfactual ROIC, which excludes cash and investments on the balance sheet. While an exaggeration (the company would need *some* cash on hand), ROIC could be almost 15 percentage points higher if the company reduced net cash by investing in value-creating projects or by returning capital.

Unlevered returns, as measured by ROIC or return on assets, are augmented by financial leverage to produce levered returns, or return on equity, which was introduced in an earlier module. We can use return on equity and its decomposition as a comprehensive measure of profitability for an issuer. The ROE decomposition for Warehouse Club Inc. illustrates the drivers of the company's levered returns, which are well in excess of its net margin.



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Questions 1–4 relate to Iliso's financial statements in the lesson "Determining the Business Model".

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1. In 2X19, the market value of Iliso's equity was $1,178 million, and the book value of debt, which was approximately equal to the market value, was $144 million. Assuming a cost of debt of 5.5%, cost of equity of 12%, tax rate of 24%, and price-to-book ratio of 1.0, Iliso's WACC is *closest* to:

A. 11.15%.
B. 11.30%.
C. 12.00%.

Hide Solution

Solution:

A is correct. Recall that:

WACC = [weighting of debt × gross cost of debt × (1 − tax rate)] + (weighting of equity × cost of equity).

Total capital is $1,178 + $144 = $1,322 million. Weighting of debt is therefore $144/$1,322 = 10.89%, and Weighting of equity is 1 − Weight of debt = 89.11%.

Therefore, WACC = [10.89% × 5.5% × (1 − 24%)] + (89.11% × 12%) = 11.15%.

B is incorrect, because it incorrectly calculates WACC using a pre-tax rather than after-tax cost of debt.

C is incorrect; it is the cost of equity.

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2. Why might Iliso's WACC be significantly higher than Warehouse Club's WACC, as calculated earlier in the module?

A. Warehouse Club's business model is less risky than e-commerce.
B. Warehouse Club's capital structure, with degree of financial leverage close to 1.0, is less conservative than Iliso's.
C. Iliso is an established retailer with an investment-grade rating.

Hide Solution

Solution:

A is correct. The cost of equity is the compensation that equity investors demand for the business and financial risks of investing in an issuer's equity securities. Iliso's cost of equity is 12%, whereas Warehouse Club's is 9%, reflecting Warehouse Club's longer operating history, more proven business model, and competitive positioning.

B is incorrect, because Warehouse Club's capital structure, with degree of financial leverage of 1.0, would imply almost 100% weighting of equity, whereas Iliso has an 11% debt weighting and therefore Warehouse's capital structure is *more* conservative.

C is incorrect, because an investment-grade rating would reduce Iliso's cost of debt and WACC.

3. Iliso's degree of financial leverage in 2X19 is *closest* to:

A. 0.77.
B. 1.15.
C. 1.84.

Hide Solution

Solution:

income/Operating income = 100/130 = 0.77.

C is incorrect, because it is Iliso's equity multiplier: Total assets/Equity = 2,168/(592 + 586) = 1.84.

4. Explain why Iliso's ROE differs from Warehouse Club's ROE.

Hide Solution

Solution:

Iliso's ROE is lower than Warehouse Club's ROE.

ROE = Net margin × Asset turnover × Equity multiplier

ROE = 1.3% × 3.5 × 1.84 = 8.37%, which is less than half of Warehouse Club's 18% ROE.

This primarily results from Iliso's lower net margin (1% versus 2%) and an equity multiplier that is 40% lower (1.84 versus 3), which is somewhat offset by Iliso's higher asset turnover (3.5 versus 3).

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OPTIONAL UNTESTED SEGMENT

UNLOCKING REAL-WORLD APPLICATIONS WITH BLOOMBERG

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LE

Where do I find the net income and operating income information for question 3

Created 4 months ago by Leon Etienne Grabsdorf

1 reply | Last Activity: 3 months ago

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HN

In question 4, where can I find info about total asset & equity of Iliso?

Created 5 months ago by Hien Nguyen Thi Thu

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